

A pragmatic picture: On the Economic Survey 2024-25

The Economic Survey **sets out** challenges to India's growth

Parliament's Budget session has begun **amid** a significantly changed **backdrop**. India's growth is seen **faltering** after four years of healthy post-pandemic growth, the stock markets are **tumbling**, the rupee is **losing ground** faster than expected, and the major **drivers** that have been **spurring** the economy — domestic demand and public sector **capex** — **are sputtering**, while private investments remain **insipid**. For context, the five years from 2019-20 to 2023-24 have seen government capex increase at a **compounded annual growth rate** of 16%, household investments by 12%, while corporate **outlays** were up only 6%, despite a **steep** tax rate cut for them. A **slowdown** in the well-moving economic **levers is**, thus, a cause for concern. **That** the new U.S. administration seems determined to **upend** global trade and taxation **arrangements, is** also **unsettling**. The Economic Survey 2024-25, has warned that, with **globalisation in retreat**, India must focus on domestic factors to spur growth higher while becoming more competitive **vis-à-vis** rival markets looking to attract foreign investors.

The Survey's **prognosis** that real GDP growth may be in the range of 6.3% to 6.8% in 2025-26, from the 6.4% pace estimated for this year, **acknowledges** that economic momentum may slip further **in the face of** new **headwinds**. **That** the Survey's authors have **posited** that anything short of a growth pace of around 8% over at least a **decade** would make it tough to realise India's aspiration to be a developed nation by 2047, **is** significant, along with their warning that a '**business as usual**' approach risks **fomenting** economic **stagnation**. While **lauding** recent reforms, the Survey has **cautioned** they will not deliver their desired goals without **deregulation**. The Survey has some refreshing **plainspeak** in this context, emphasising it is critical for the government to 'get out of the way' of businesses by **undoing** regulations that are **tantamount to** micro-management, and bridging the '**trust deficit**' between authorities and citizens, as well as within the nation's **close-knit** communities. Pushing for a refresh of the ease of doing business **drive**, it has made an **impassioned plea** to minimise controls that distort markets and adopt a 'minimum necessary, maximum **feasible**' approach to regulations, while seeking the same **accountability** from regulators that they **stipulate** for their **constituents**. The **pitch** to **empower** small firms, enhance economic freedom and ensure a **level-playing field, holds weight** too. For a government that has been recently **infatuated** by a **spate** of 1970s'-style bad ideas such as import **curbs**, production-linked incentives and questionable taxation **misadventures**, this is **pertinent** advice. Whether the government has **bothered** to listen, without **prejudice**, the Budget will tell.

- Red/blue coloring of words in the sentence indicates subject verb relationship; where 'red' denotes 'subject' and 'blue' denotes 'verb'.

[Practice Exercise]

Vocabulary

1. **Pragmatic** (adjective) – Practical, realistic, sensible, logical, rational व्यावहारिक
2. **Set out** (phrasal verb) – Explain, present, outline, define, describe प्रस्तुत करना
3. **Amid** (preposition) – Among, in the middle of, during, surrounded by, amidst के बीच में
4. **Backdrop** (noun) – Background, setting, context, environment, circumstances पृष्ठभूमि
5. **Faltering** (adjective) – Weakening, declining, struggling, wavering, stumbling डगमगाता
6. **Tumbling** (adjective) – Falling, dropping, declining, plunging, collapsing गिरता हुआ
7. **Lose ground** (phrase) – Decline, weaken, fall behind, deteriorate, regress पिछड़ना
8. **Driver** (noun) – Motivator, factor, catalyst, influencer, initiator प्रेरक तत्व
9. **Spur** (verb) – Encourage, stimulate, boost, propel, drive प्रेरित करना
10. **Capex** (noun) – Capital expenditure, money invested by a company to acquire or upgrade fixed, physical or nonconsumable assets
11. **Sputtering** (adjective) – Struggling, stalling, slowing down, faltering, weakening धीमा पड़ता हुआ
12. **Insipid** (adjective) – Uninspiring, dull, lifeless, unexciting, bland रुचिहीन
13. **Compounded annual growth rate** (noun) – the rate of return that an investment would need to have every year
14. **Outlay** (noun) – Expenditure, spending, investment, allocation, budget खर्च
15. **Steep** (adjective) – Sharp, high, excessive, abrupt, drastic तेज़
16. **Slowdown** (noun) – Decline, slump, reduction, stagnation, deceleration मंदी
17. **Lever** (noun) – Tool, mechanism, means, instrument, factor साधन
18. **Upend** (verb) – Disrupt, overturn, reverse, destabilize, unsettle उलट देना
19. **Arrangement** (noun) – Plan, setup, structure, agreement, system व्यवस्था
20. **Unsettling** (adjective) – Disturbing, troubling, disconcerting, alarming, worrying परेशान करने वाला
21. **Globalisation** (noun) – a term used to describe how trade and technology have made the world into a more connected and interdependent place वैश्वीकरण
22. **Retreat** (noun) – Withdrawal, pullback, decline, regression, retraction गिरावट

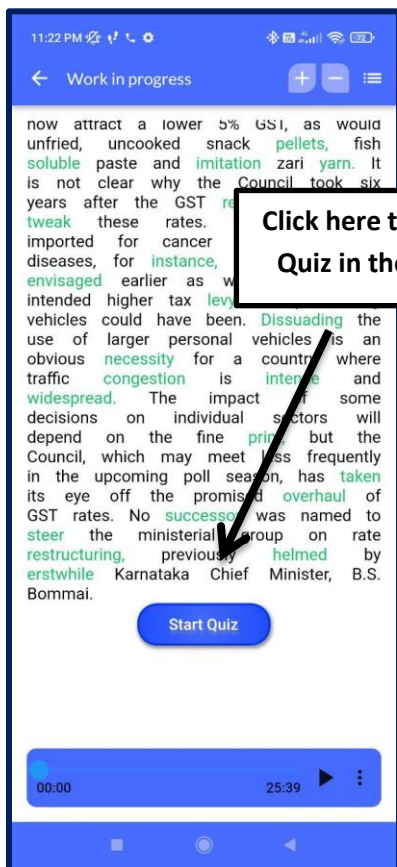
23. **Vis-à-vis** (preposition) – In relation to, compared with, concerning, with respect to की तुलना में
24. **Prognosis** (noun) – Forecast, prediction, outlook, projection, estimation पूर्वानुमान
25. **Acknowledge** (verb) – Recognize, admit, accept, confirm, appreciate स्वीकार करना
26. **In the face of** (phrase) – Despite, in spite of, even with, against, confronting के बावजूद
27. **Headwind** (noun) – Obstacle, challenge, difficulty, resistance, opposition बाधा
28. **Posit** (verb) – Propose, suggest, put forward, assume, hypothesize प्रस्ताव रखना
29. **Decade** (noun) – Period of ten years दशक
30. **Business as usual** (adjective) – Routine, normal, unchanged, standard, conventional सामान्य रूप से
31. **Foment** (verb) – Instigate, provoke, incite, stir up, agitate भड़काना
32. **Stagnation** (noun) – Lack of growth, inactivity, standstill, slowdown, recession आर्थिक सुस्ती
33. **Laud** (verb) – Praise, applaud, commend, appreciate, extol प्रशंसा करना
34. **Caution** (verb) – Warn, advise, alert, notify, forewarn चेतावनी देना
35. **Deregulation** (noun) – the process of reducing or removing government regulations on a business or industry. नियमन हटाना
36. **Plainspeak** (noun) – Straight talk, frankness, directness, honesty, candor साफ-सुथरी भाषा
37. **Undo** (verb) – Reverse, revoke, cancel, remove, nullify हटाना
38. **Tantamount** (to) (adjective) – Equivalent to, equal to, same as, comparable to के बराबर
39. **Trust deficit** (noun) – a lack of faith or belief in an institution, leader, or system विश्वास की कमी
40. **Close-knit** (adjective) – United, tight, interconnected, cohesive, bonded एकजुट
41. **Drive** (noun) – Initiative, campaign, effort, movement, push अभियान
42. **Impassioned** (adjective) – Emotional, heartfelt, intense, fervent, enthusiastic जोशीला
43. **Plea** (noun) – Request, appeal, petition, entreaty, solicitation अनुरोध,
44. **Feasible** (adjective) – Possible, practical, achievable, viable, workable व्यावहारिक

45. **Accountability** (noun) – Responsibility, answerability, liability, transparency
उत्तरदायित्व
46. **Stipulate** (verb) – Specify, require, mandate, dictate, prescribe निर्धारित करना
47. **Constituent** (noun) – Component, element, part, member, voter घटक
48. **Pitch** (noun) – Proposal, argument, presentation, appeal, recommendation
प्रस्ताव, आग्रह
49. **Empower** (verb) – Enable, authorize, strengthen, equip, liberate सशक्त बनाना
50. **A level-playing field** (phrase) – Fair competition, equal opportunity, equity, balance समान अवसर
51. **Hold weight** (phrase) – Be valid, be significant, be credible, carry importance
तर्कसंगत होना
52. **Infatuated** (adjective) – Obsessed, captivated, fascinated, enamored, fixated
अत्यधिक आकर्षित
53. **Spate** (noun) – Series, wave, flood, rush, outbreak झड़ी
54. **Curb** (noun) – Restriction, limitation, control, constraint, restraint रोक
55. **Misadventure** (noun) – Mishap, failure, mistake, disaster, blunder असफलता
56. **Pertinent** (adjective) – Relevant, appropriate, applicable, suitable, important प्रासंगिक
57. **Bother** (verb) – Worry, trouble, concern, disturb, inconvenience परेशान करना
58. **Prejudice** (noun) – Bias, discrimination, partiality, unfairness, intolerance पूर्वाग्रह

Summary of the Editorial

1. **Economic Challenges Highlighted** – The Economic Survey outlines key concerns as India's economic growth slows after four years of post-pandemic recovery.
2. **Weakening Growth Drivers** – Domestic demand and public sector capital expenditure (capex) are losing momentum, while private investments remain sluggish.
3. **Investment Trends** – From **2019-20 to 2023-24**, government capex grew at **16%**, household investments at **12%**, but corporate spending lagged at **6%** despite tax cuts.
4. **Global Uncertainties** – The U.S. administration's policies on trade and taxation, along with global economic shifts, add to India's economic challenges.
5. **Growth Projections** – Real GDP growth for **2025-26 is projected at 6.3% to 6.8%**, indicating a slowdown from the estimated **6.4% in 2024-25**.
6. **Need for Higher Growth** – The Survey stresses that **India needs at least 8% growth for a decade** to achieve its goal of becoming a developed nation by 2047.
7. **Warning Against Stagnation** – A "business as usual" approach may lead to economic stagnation, requiring proactive policy measures.
8. **Call for Deregulation** – The Survey urges the government to **reduce regulatory micro-management** and allow businesses greater freedom.
9. **Bridging the Trust Deficit** – Emphasis on improving trust between the government, businesses, and citizens for a more dynamic economy.
10. **Ease of Doing Business** – The Survey calls for reducing market distortions and **adopting a 'minimum necessary, maximum feasible' regulatory framework**.
11. **Regulator Accountability** – It advocates for holding regulators accountable in the same way businesses are held to compliance standards.
12. **Empowering Small Businesses** – The report highlights the need to create a level-playing field for small firms to foster inclusive economic growth.
13. **Critique of Policy Missteps** – The government's **import curbs, production-linked incentives, and tax policies** are criticized as outdated and restrictive.
14. **Push for Economic Freedom** – The Survey suggests that excessive government intervention is counterproductive and hinders economic progress.
15. **Budget as a Litmus Test** – Whether the government heeds this advice will be evident in the upcoming **Union Budget 2025-26**.

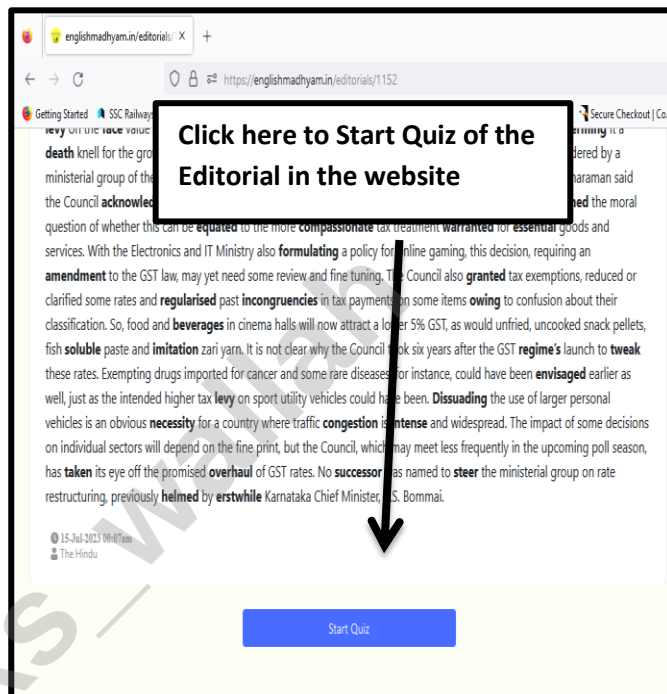
Practice Exercise: SSC Pattern Based



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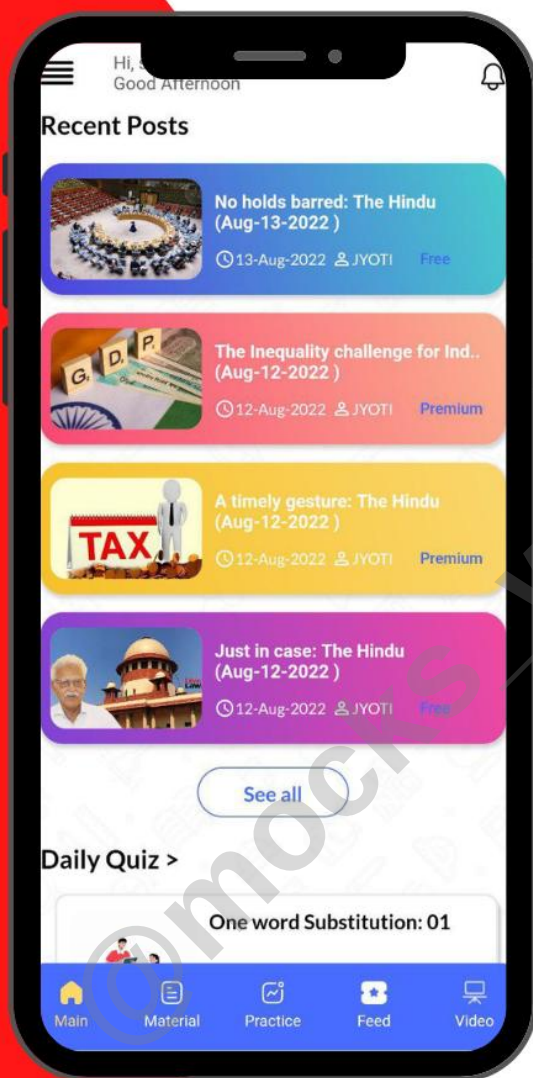
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